

Superior Court of the State of California
County of Orange
TENTATIVE RULINGS FOR N18
Hon. Scott A. Steiner

Date: July 29, 2026

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#	Case Name	Tentative
1.	2026-1552103 Alvarado vs. Prime Tech Cabinets, Inc.	Demurrer is off calendar pursuant to Request for Dismissal filed as to Causes of Action 7 through 10.
3.	2023-1338703 Biltagi vs. Transamerica Life Insurance Company	The motion by Plaintiffs/Cross-Defendants Bill Biltagi and Tropical Entertainment, Inc. (collectively, "Cross-Defendants") for judgment on the pleadings as to the first, fourth, and fifth causes of action alleged in the cross-complaint filed by Cross-Complainant Rami Fahil ("Fahil") is denied. On July 1, 2026, after hearing oral argument, the hearing on this motion was continued to allow the parties to serve and file an opposition no later than July 20, 2026, and a reply no later than July 22, 2026. (July 1, 2026, Minute Order.) As noted in Cross-Defendant's reply, Fahil did not timely file his opposition. However, based on Fahil's proof of service, Fahil timely served his opposition. Cross-Defendants served and filed a timely substantive reply. The Court exercises its discretion to consider all papers filed in support of and opposition to this motion.

A motion for judgment on the pleadings may be made, and granted, on the same grounds as a general demurrer. (Code Civ. Proc., § 438, subd. (c); *Stoops v. Abbassi* (2002) 100 Cal.App.4th 644, 650.) As with a demurrer, the grounds for judgment on the pleadings must appear on the face of the complaint or be based on facts that the court may judicially notice. (Code Civ. Proc., § 438, subd. (d); *Tung v. Chicago Title Co.* (2021) 63 Cal.App.5th 734, 758-759.) Extrinsic matters may not be considered. The pleading under attack must be accepted as true. (*Gerawan Farming, Inc. v. Lyons* (2000) 24 Cal.4th 468, 515-516.)

Cross-Defendants motion is timely filed. (Code Civ. Proc., § 438, subd. (f)(2).) Cross-Defendants filed their answer on July 15, 2026.

Fourth cause of action for breach of contract and fifth cause of action for breach of the implied covenant of good faith and fair dealing

There is no dispute that the Court sustained Cross-Defendants demurrer to these two causes of action on July 16, 2025 with leave to amend and that Fahil did not file any amended cross-complaint. Accordingly, the motion for judgment on the pleadings is denied as moot.

First cause of action for declaratory relief

Plaintiffs seek judgment on the pleadings as to the first cause of action for declaratory relief on the ground that the cause of action is time barred because they are based on the same alleged conduct and underlying rights as the contract-based causes of action, which the Court already found were time barred. Plaintiffs also contend Fahil did not allege an actual controversy.

Pursuant to CCP section 1060, any person “interested under a written instrument, excluding a will or a trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, or with respect to the location of the natural channel of a watercourse, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract.”

To state a cause of action for declaratory relief, Fahil must allege: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party’s rights or obligations. (*Wilson & Wilson v. City Council of Redwood City* (2011) 191 Cal.App.4th 1559, 1582.)

		Fahil seeks declaratory relief as to whether Fahil is entitled to 50% of any amounts obtained from Transamerica as a result of Plaintiffs' claims in this lawsuit. (Cross-Complaint, ¶ 41.) Fahil alleges a dispute exists in which Plaintiffs contend they are entitled to all or substantially all sums that can be obtained from Transamerica as a result of their claims in this lawsuit. (<i>Id.</i>) As the Court previously found, Fahil alleged sufficient facts to state this cause of action. (Cross-Complaint, ¶¶ 11, 13-22, 24-32, and 40-43, and 14:14-15, Exhibit 1.) To show a cause of action is barred by the applicable statute of limitations, "the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred." (<i>Id.</i>; see, <i>Marshall v. Gibson, Dunn & Crutcher</i> (1995) 37 Cal.App.4th 1397, 1403.) Cross-Defendants have not shown the cause of action is clearly and affirmatively time-barred on its face. Fahil seeks a determination as to whether Fahil is entitled to proceeds if Plaintiffs prevail against Transamerica. (Cross-Complaint, ¶ 41.) Although Fahil alleges the policy was terminated as a result of Biltagi's breach of the agreement to pay the policy premiums, Fahil seeks a determination as to what amount, if any, of what Cross-Defendants recover from Transamerica as a result of this action. (<i>Id.</i>, ¶ 41 and 14:14-15 and 19-20.) Accordingly, Cross-Defendants' motion is denied. Fahil shall give notice.
4.	2023-1370142 Katich vs. Peifer	Defendants Scott Peifer, DDS, Peifer Dental, PC, and Scott Peifer, DDS, PC's motion for summary adjudication is granted in part and denied in part. The motion is granted with respect to the claims for intentional and negligent misrepresentation. The motion is denied with respect to the concealment claims. <u>Procedural Issues</u> The Court overrules Defendants' objection no. 1 to the Wyatt Declaration and objection no. 1 to the Husain Declaration. Plaintiff's expert witnesses are permitted to provide an opinion on the ultimate issue, although they may not invade the province of the jury and testify as to whether Dr. Peifer did, in fact, see the alleged injury in the scans. (See, e.g., <i>People v. Frederick</i> (2006) 142 Cal.App.4th 400, 412.) The Court declines to rule on the remainder of the evidentiary objections, because they are not material to the disposition of the motion. (Code Civ. Proc., § 437c, subd. (q).) <u>Merits</u>

Defendants move under CCP section 437c(f)(1) for summary adjudication on the claims for intentional misrepresentation or concealment and negligent misrepresentation or concealment.

Legal Standard

“[F]rom commencement to conclusion, the party moving for summary judgment [or summary adjudication] bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law.... There is a triable issue of material fact if, and only if, the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof.” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.)

A defendant moving for summary judgment satisfies his or her initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc., § 437c, subd. (p)(2).) The scope of this burden is determined by the allegations of the plaintiff’s complaint. (*FPI Development v. Nakashima* (1991) 231 Cal.App.3d 367, 381-382; *580 Folsom Associates v. Prometheus Development Co.* (1990) 223 Cal.App.3d 1, 18-19.)

Once a defendant meets its prima facie showing, the burden shifts to the plaintiff to show by reference to specific facts the existence of a triable issue as to that affirmative defense or cause of action. (*Aguilar v. Atlantic Richfield Co.*, *supra*, 25 Cal.4th at p. 850.) To meet this burden, the plaintiff must present substantial and admissible evidence creating a triable issue. (*Sangster v. Paetkau* (1998) 68 Cal.App.4th 151, 163.) Theoretical, imaginative, or speculative submissions are insufficient to stave off summary judgment. (*Doe v. Salesian Society* (2008) 159 Cal.App.4th 474, 481; *Bushling v. Fremont Med. Center* (2004) 117 Cal.App.4th 493, 510.)

Misrepresentation Claims

Defendants contend the misrepresentation claims fail, because “Plaintiff’s FAC does not include any allegations of affirmative statements alleged to be misrepresented.” (Memo. of P&A at pp. 6, 9.) Where, as here, Defendants contend that the allegations in the pleadings fail to state a cause of action, the motion for summary adjudication is treated like a motion for judgment on the pleadings and the allegations in the pleading must be accepted as true. (*American Airlines, Inc. v. County of San Mateo* (1996) 12 Cal.4th 1110, 1118.)

To establish a claim for intentional misrepresentation, a plaintiff must prove:

1. That the defendant represented to the plaintiff that a fact was true;
2. That defendant's representation was false;
3. That defendant knew that the representation was false when the defendant made it (or that the representation was made recklessly and without regard for its truth);
4. That defendant intended that plaintiff rely on the representation;
5. That plaintiff reasonably relied on defendant's representation;
6. That plaintiff was harmed; and
7. That plaintiff's reliance on defendant's representation was a substantial factor in causing plaintiff's harm. (CACI no. 1900.)

A claim for negligent misrepresentation includes the same elements, except the plaintiff need not show the defendant knew the representation was false (or that it was made recklessly without regard for the truth), instead, the plaintiff may prove that, although the defendant may have honestly believed that the representation was true, the defendant had no reasonable grounds for believing the representation was true when it was made. (CACI no. 1903; see also *Tenet Healthsystem Desert, Inc. v. Blue Cross of California* (2016) 245 Cal.App.4th 821, 845 ["The tort of negligent misrepresentation is similar to fraud, except that it does not require scienter or an intent to defraud"].)

The misrepresentation claims must be pleaded with specificity, i.e., it "necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.'" (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384; see also *National Union Fire Ins. Co. of Pittsburgh, PA v. Cambridge Integrated Services Group, Inc.* (2009) 171 Cal.App.4th 35, 50.) "To withstand a demurrer, the facts constituting every element of the fraud must be alleged with particularity, and the claim cannot be salvaged by references to the general policy favoring the liberal construction of pleadings." (*Goldrich v. Natural Y Surgical Specialties, Inc.* (1994) 25 Cal.App.4th 772, 782.)

Plaintiff failed to allege any facts supporting the elements of intentional or negligent *misrepresentation* (as opposed to concealment) in the FAC. In his opposition, Plaintiff claims that he pled allegations of intentional misrepresentations in paragraphs 13 through 41 of the FAC (under his second cause of action), which were incorporated into his third causes of action. Specifically, Plaintiff points to the allegations that "Dr. Peifer documented in his notes of Mr. Katich's January 10, 2023 visit that he made statements to 'reassure to patient that that (sic) is normal and that he will gradually get his feeling back'" and "Dr. Peifer documented that he 'explained to patient that his sensitivity was due to lack of

hygiene.” (Opp’n at pp. 12-13, citing FAC at ¶¶ 24, 42.) However, Plaintiff does not allege that he relied on any of these “notations” or on the statements that were purportedly made according to the notations. Rather, Plaintiff expressly alleges under his second cause of action, that: “Defendant SCOTT PEIFER, D.D.S. intended that plaintiff rely upon, and plaintiff did in fact rely upon, *defendant’s concealment of the truth* that the implant had been placed into the inferior nerve canal. Defendant intentionally induced plaintiff’s reliance *on his concealment* in order to try to evade liability for having improperly and negligently placed the implant in the inferior alveolar nerve canal as well as over-drilling the osteotomy into the nerve canal.” (FAC at ¶ 38, emphasis added.) And, under his third cause of action, that: “Plaintiff justifiably relied on defendant SCOTT PEIFER, D.D.S.’s *concealment of the fact* that the dental implant had been placed inside the inferior alveolar nerve canal.” (FAC at ¶ 47, emphasis added.)

In his opposition, Plaintiff claims discovery has “further” established that “Dr. Peifer affirmatively told Mr. Katich the implant was only ‘close to the nerve’ and that ‘everything looked okay’ or ‘good.’” (Opp’n at p. 13.) It is unclear why discovery would be required for Plaintiff to “discover” what misrepresentations were made to him, and which misrepresentations he relied on. Plaintiff cannot pivot to allegations of a misrepresentation that was not alleged in his complaint, because “[t]he complaint limits the issues to be addressed at the motion for summary judgment.” (*Laabs v. City of Victorville* (2008) 163 Cal.App.4th 1242, 1258.) The FAC is replete with allegations that Dr. Peifer “concealed” or failed to disclose that the implant had allegedly been placed inside the nerve canal. (See FAC at ¶¶ 19, 21, 22, 23, 24, 26, 28, 29, 33, 35, 38, 39, 45, 46, 47, 49.) Conspicuously absent from the FAC are allegations of facts that Dr. Peifer made a false representation to Plaintiff, that Dr. Peifer intended Plaintiff to rely on that representation, that Plaintiff reasonably relied on it, etc. In preparing this motion, Defendants were justified in responding only to the facts set forth specifically in the FAC; they are not expected to respond to theories that were not actually pled. (*De Meo v. Cooley LLP* (2025) 115 Cal.App.5th 17, 44.)

As such, summary adjudication is granted on Plaintiff’s claims for intentional misrepresentation and negligent misrepresentation.

Concealment Claims

The Court denies summary adjudication on the concealment claims, because Plaintiff has shown there is a triable issue of fact as to whether Dr. Peifer was aware of having allegedly placed a dental implant inside Plaintiff’s inferior alveolar nerve canal, and having concealed it from Plaintiff.

		Deceit is defined by Civil Code section 1710 to include the “suppression of a fact, by one who is bound to disclose it, or who gives information of other facts which are likely to mislead for want of communication of that fact.” (Civ. Code, § 1710, subd. (3).) “Judicial interpretations of section 1710, subdivision 3 state that to support a cause of action for fraud by concealment a plaintiff must show (1) concealment of a material fact by the defendant; (2) the defendant had a duty to disclose that fact to the plaintiff; (3) the defendant concealed the fact with an intent to induce reliance by the plaintiff; (4) the plaintiff was unaware of the fact and would not have acted as he or she did with knowledge of the concealed fact; and (5) the plaintiff suffered injury.” (<i>Doe v. Superior Court</i> (2015) 237 Cal.App.4th 239, 244.) Defendants contend that Plaintiff cannot meet his burden of showing Dr. Peifer had knowledge of the dental implant being placed in Plaintiff’s nerve canal, because Dr. Peifer testified (at deposition and in his declaration) that, each time he represented to Plaintiff the implant at tooth #30 was close to the inferior alveolar nerve canal, Dr. Peifer never knew the implant was inside the inferior alveolar nerve canal. (See Disputed Fact no. 24.) However, this fact is disputed by the testimony of Plaintiff’s expert witness, Dr. Wyatt, who opines that a “hypothetical oral surgeon with the same level of training in viewing cone beam CT scans as Dr. Peifer and the same professional experience with viewing ‘approximately 1,000’ cone beam CT scans as Dr. Peifer would have been aware—from a review of the pre-operative cone beam CT scan of Mr. Katich and any of the five (5) post-operative cone beam CT scans of Mr. Katich—that the surgical drilling process to create the osteotomy (hole) in Mr. Katich’s lower jawbone had extended significantly beyond the intended depth, through the inferior alveolar nerve canal, and into the inferior cortical border of the right inferior alveolar nerve canal, causing nerve damage.” (ROA 170 [Wyatt Decl. at ¶ 11].) Additionally, Plaintiff’s other expert, Dr. Husain, also testifies to that effect. (ROA 176 [Husain Decl. at ¶ 19].) Based on the evidence presented, the Court cannot adjudicate this question of fact as a matter of law. Accordingly, the motion is granted as to the negligent and intentional misrepresentation claims and denied as to the concealment claims. Defendants shall give notice of the ruling.
6.	2025-1514475 Toner vs. Aurora Heights, LLC	The Court overrules Defendants Aurora Heights, LLC, JJT Properties, LLC, IBILTIT, Inc., and Bandera Land Company, Inc.’s Demurrer to Plaintiffs Matthew Toner, Lawrence G. Toner, William J. Toner, Pauline Toner, as Trustee (derivatively on behalf of

Nominal Defendant Casa Del Rey, Ltd.) and Kneebumps Inc.'s Complaint.

Moving Defendants shall answer the Complaint within 20 days.

RJN

The unopposed Request for Judicial Notice in support of the Demurrer is granted.

Merits

This is a partition case seeking to split several properties:

1. a mobile home park located at 327 East Ash Street, Brea, California, 92821, zoned with a multi-family residential zoning designation of R-3
2. two multi-family buildings located at 1633 & 1639 West Ball Road, Anaheim, California, 92802, zoned with a multi-family residential zoning designation of RM-4
3. a multi-family building located at 8252 California Street, Buena Park, California, 90621, zoned with a multi-family residential zoning designation of RM-20
4. a multi-family building located at 11111 Barclay Drive, Garden Grove, California, 92841, zoned with a multi-family residential zoning designation of R-3

(Compl., ¶¶1-5.)

Plaintiffs Matthew Toner, Lawrence G. Toner, Willian J. Toner, Pauline Toner, as Trustee (derivatively on behalf of Nominal Defendant Casa Del Rey, Ltd.) and Kneebumps Inc. sue Defendants for:

1. Partition of the Ash Street Property
2. Partition of the Ball Road Property
3. Partition of California Street Property
4. Declaratory Relief as to CDR Partnership
5. Judicial Dissolution of CDR Partnership
6. Quiet Title to Barclay Drive Property
7. Partition of Barclay Drive Property

First, Moving Defendants argue that Plaintiffs may not file one suit involving four properties owned by different owners. Each suit must only name the owners of each property and no one else citing *Middlecoff v. Cronise* (1909) 155 Cal. 185, 188.

In response, Plaintiffs argue that California partition law falls under the statutes first adopted in 1976, well after the holding in *Middlecoff* - a 1909 case. (Code of Civil Procedure §§ 872.010-

874.323.) As present-day partitions must follow these statutory requirements, case law which contradicts, or does not even reference, the modern partition statutes (like *Middlecoff*) has little relevance or persuasive value whatsoever.

Code of Civil Procedure section 872.250 states:

“(a) Immediately upon filing the complaint, the plaintiff shall record a notice of the pendency of the action in the office of the county recorder of each county in which any real property described in the complaint is located. (b) If, thereafter, partition of other real property is sought in the same action, the plaintiff or other person seeking such relief shall immediately record a supplemental notice.”

(CCP § 872.250(a-b) (Emphasis added).)

Here, the primary ownership interests across the four Properties involve the same Parties, and all of Plaintiffs’ causes of action are derived from a common pool of facts and events.

There is no reply filed and thus it appears that Moving Defendants have abandoned this argument.

Second, Moving Defendants also argue that as to two named decedents, (the Martins) who before their deaths owned a tenancy in common interest in one of the parcels (Ash Street), their estate representatives must be named, or if none exist, the probate court must appoint a special administrator. (Probate Code § 8402).

But the recently filed Doe Amendment resolves this issue. “The testate and intestate successors of Gertrude Irene Martin, deceased, and all persons claiming by, through, or under said decedent” was added as Doe 2. (ROA 451.)

Next, as to the Barclay Property, Moving Defendants argue that title to that property is in a California limited partnership and Plaintiffs are purported successors to the original limited partners. Limited partners have no standing to seek partition of partnership property, nor can they seek to quiet title as they are not owners. Defendants contend that this disposes of the 6th and 7th claims.

But in opposition, Plaintiffs cite to Code of Civil Procedure section 872.730, which permits this court of action:

“To the extent that the court determines that the provisions of this title [concerning partition actions] are a suitable remedy, such provisions may be applied in a proceeding for

		partnership accounting and dissolution, or in an action for partition of partnership property, where the rights of unsecured creditors of the partnership will not be prejudiced.” (CCP § 872.730.) A partition action may be raised against real property owned by a partnership, by interest holders in the partnership who may additionally or otherwise be able to raise an action for dissolution—as Plaintiffs have done here. As the court explained in <i>Logoluso</i>, “[W]e note that an action to dissolve a partnership is an equitable proceeding, and so is an action in partition. Both kinds of cases present similar problems as to whether jointly-owned property should be divided or sold. Because the circumstances surrounding the two kinds of action in equity are parallel, we apply the long established rules of partition to the property division aspects of a partnership dissolution action. Equity, by its very nature, requires that like principles be applied to like cases.” (<i>Logoluso v. Logoluso</i> (1965) 233 Cal.App.2d 523, 530.) Finally, Moving Defendants argue that a partnership dissolution complaint that admits the Plaintiffs do not know all the partner names (as exists here) is defective on its face. Per Plaintiffs’ Complaint Paragraph 68 (verified, and not stated on information and belief), for the CDR Partnership: (1) Plaintiffs are alleged to collectively hold a 27.5% ownership interest; (2) of the Defendants, JJT Properties is alleged to hold a 27.5% ownership interest, and Aurora Heights is alleged to hold a 40% ownership interest (or 67.5% between them collectively); and (3) the individuals Luann Coleman, Carol Meng, Robert Botkin (sued erroneously as “Boltkin”), and Suzanne Shook are alleged to each hold a 1.25% interest respectively (or 5% between them collectively). The Court accepts this as true for purposes of Demurrer. Thus, the Demurrer is overruled. Moving Defendants are ordered to serve notice.
7.	2025-1495388 Sirott vs. Giammichele Law, APC	The general demurrer by Defendants Tustin Law Group, APC, formerly known as Giammichele Law, APC, and Steven Andrew Giammichele (collectively, “Defendant’s) to the sole cause of action for legal malpractice alleged in the First Amended Complaint (“FAC”) filed by Plaintiff Adrienne Sirott (“Plaintiff”), personally and in her capacity as a personal representative of the Estate of Stanley A. Sirott, is continued.

		The parties do not dispute that Plaintiff's opposition was not properly served on Defendants. Defendants' request for a continuance is granted. No later than August 5, 2026, Plaintiff shall file a proof of service showing Plaintiff's opposition was properly served on Defendants. Defendants may serve and file a reply no later than August 11, 2026. The hearing on Defendants' demurrer is continued to September 2, 2026, at 10:00 AM in Department N18. Defendants shall give notice.
8.	2025-1528928 Handy vs. Exodus Cry, Inc.	Defendant Exodus Cry, Inc.'s demurrer to plaintiff Bridget Handy's first amended complaint ("FAC") is continued to September 9, 2026, for Defendant to serve Plaintiff by a proper method and file a sufficient proof of service. [ROA # 44.] <u>Facts</u> Plaintiff is a self-represented litigant. [See First Amended Complaint (ROA #38).] Defendant purportedly served its demurrer on Plaintiff by email. [See Demurrer POS (ROA #44).] The proof of service does not show the email address from which service was purportedly made and it is executed in Florida and sworn under penalty of perjury under the laws of Florida. <u>Discussion</u> A self-represented litigant may not be served by email unless she expressly consents. Express consent to electronic service is accomplished either by (i) serving a notice on all other parties and filing it with the court, or (ii) by "[m]anifesting affirmative consent through electronic means with the court or the court's electronic filing service provider, and concurrently providing the party's electronic address with that consent for the purpose of receiving electronic service. The act of electronic filing shall not be construed as express consent." Code Civ. Proc. § 1010.6(c)(3); see CRC 2.251(b)(1). As far as what is in the court file, Plaintiff has not served a notice of express consent to service by email. Nor is there any record that Plaintiff registered with for electronic service through an electronic service provider. See CRC 2.251(b)(1)(B)(i). Otherwise, any other way to consent is an affirmative notice either served or filed. See CRC 2.251(b)(1)(A), (b)(1)(B)(ii).

		Finally, the proof of service itself does not comply with Code of Civil Procedure sections 1013(b)(1) and 2015.5.
9.	2026-1542680 Pi-Fang Yang, trustee of YPF Trust vs. Bingham	The unopposed motion by Plaintiff Pi-Fang Yang, as trustee of YPF Trust (“Plaintiff”), for preliminary or temporary injunction, is granted. Plaintiff’s request for judicial notice (ROA 46) is granted. (Evid. Code, § 452, subd. (c), (d); see also <i>River’s Side at Washington Square Homeowners Assn. v. Superior Court</i> (2023) 88 Cal.App.5th 1209, 1220, fn. 3 [trial court could take judicial notice of recorded CC&Rs].) Plaintiff moves for a preliminary injunction granting her and her vendors “unimpeded access” to the real property, commonly known as 26701 Quail Creek, #209, Laguna Hills, California 92656 (the “Property”), and temporarily excluding Defendants Jayson Bingham (aka Jayson Mancia) and Angie Abad (aka Angie Mancia) while Plaintiff makes repairs and to remediate mold in the Property. Code of Civil Procedure section 526, subdivision (a), sets forth the conditions upon which a preliminary injunction may be granted, including: “(1) When it appears by the complaint that the plaintiff is entitled to the relief demanded, and the relief, or any part thereof, consists in restraining the commission or continuance of the act complained of, either for a limited period or perpetually”; “(2) When it appears by the complaint or affidavits that the commission or continuance of some act during the litigation would produce irreparable injury to a party to the action; or “(4) When pecuniary compensation would not afford adequate relief.” To obtain a preliminary injunction, a plaintiff ordinarily is required to present evidence of the irreparable injury or interim harm that it will suffer if an injunction is not issued pending an adjudication of the merits. [Citation.]” (<i>White v. Davis</i> (2003) 30 Cal.4th 528, 554, emphasis in original.) The moving party bears the burden of showing all elements necessary to support the issuance of a preliminary injunction. (<i>O’Connell v. Superior Court</i> (2006) 141 Cal.App.4th 1452, 1481.) A landlord a statutory right to entry of a dwelling unit. (Civ. Code, § 1954.) Relevant, here, a landlord may enter the “dwelling unit” under the following circumstances: (1) In case of emergency. (2) To make necessary or agreed repairs, decorations, alterations or improvements, supply necessary or agreed services, or exhibit the dwelling unit to prospective or actual purchasers, mortgagees, tenants, workers, or contractors or to make an inspection pursuant to subdivision (f) of Section 1950.5. (4) Pursuant to court order. (Civ. Code, § 1954, subd. (a).)

In addition to statute, the subject lease agreement also provides the following with respect to “Temporary Relocation”:

Subject to local law, Tenant agrees, upon demand of Housing Provider, to temporarily vacate Premises for a reasonable period, to allow for fumigation (or other methods) to control wood destroying pests or organisms, *or other repairs to Premises*. Tenant agrees to comply with all instructions and requirements necessary to prepare Premises to accommodate pest control, fumigation or other work, including bagging or storage of food and medicine, and removal of perishables and valuables. Tenant shall only be entitled to a credit of Rent equal to the per diem Rent for the period of time Tenant is required to vacate Premises. (ROA 44 [Yang Decl. at ¶ 7, Exh. E—Lease at p. 5, ¶ 27].)

Plaintiff has submitted (uncontroverted) evidence that the Property has suffered water intrusion inside the wall, and that the “water damage has become extensive.” (Yang Decl. at ¶¶ 8, 16.) Defendants have not opposed the motion or disputed the accuracy of these representations. To the contrary, Defendants allege in their own cross-complaint that *they* informed Plaintiff that “remaining in the premises under those conditions would be unsafe due to electrical and health hazards.” (ROA 16 [Cross-Compl. at ¶ 19].) Defendants further allege that they reported “strong odors and breathing difficulties associated with mold exposure” to Plaintiff. (Cross-Compl. at ¶ 28.) In short, Defendants do not deny that the Property is currently “uninhabitable.” (See Cross-Compl. at ¶ 39.) Further, it appears Defendants are not currently residing at the Property. (See Cross-Compl. at ¶ 41.) As such, Plaintiff is likely to prevail on her claim for breach of contract (of the Lease Agreement) if Defendants refuse to comply with the “temporary relocation” provision.

The equities also weigh in favor of granting the requested relief, because Plaintiff may be in breach of the CC&Rs if necessary repairs are not made. (ROA 46 [CC&Rs at §§ 2.8, 12.1].) Conversely, the harm to Defendants is “minimal,” because it appears they are not currently residing at the Property; and, they have alleged that the Property is uninhabitable due to safety concerns (including electrical and mold issues).

Plaintiff’s counsel shall be prepared to provide the Court with the exact dates for the requested temporary injunction.

Plaintiff shall give notice of the ruling.

11.	2025-1469117 New Beginnings Diversified LLC vs. H Greg Auto Buena Park LLC	The demurrer of cross-defendants New Beginnings Diversified, LLC (“Lessor”), Industrious Motors, LLC (“I-M”), and Greg Brown (“Brown”) to the first amended cross-complaint (“FAXC”) of cross-complainants H Greg Auto Buena Park, LLC (“H Greg Auto”) and H Greg Holdings USA, Inc. (“H Greg Holdings”) is overruled in part and sustained in part with 15 days leave to amend. The demurrer is overruled as to the eighth cause of action; it is otherwise sustained with leave to amend. [ROA #117.] Cross-Defendants’ motion to strike is granted as to the seventeenth through twenty-first causes of action without prejudice to Cross-Complainants bringing a motion to amend. The motion is otherwise moot. [ROA #113.] The Court did not consider declarations of counsel beyond confirming the requisite good faith meet and confer took place. <u>Facts</u> This action began on 3/19/25 when plaintiff New Beginnings Diversified LLC (sometimes, “Landlord”) filed its complaint against defendants H Greg Auto Buena Park LLC (“H Greg Auto” or “Tenant”) and H Greg Holdings USA, Inc. (“H Greg Holdings” or “Guarantor”). New Beginnings has since filed a first amended complaint. [ROA #65.] Before Plaintiff filed its FAC, on 5/2/25 Cross-Defendants filed their cross-complaint, which consisted of 15 causes of action, against New Beginnings Diversified, LLC (“Lessor”), Industrial Motors, LLC (“I-M”), and Greg Brown. [ROA #16.] Cross-Defendants demurred to 11 of those causes of action. [ROA #47.] The hearing date for the demurrer was initially 9/10/25. [<i>Id.</i>] On the last day to file opposition or an amended cross-complaint, Cross-Complainants filed an opposition. [8/27/25 Opp. (ROA #56).] <i>After that</i> , the court continued the hearing based on its own motion. [8/29/25 Minute Order (ROA #58).] the court’s order did not expressly re-open Cross-Complainants’ time to respond to the demurer or give them leave to file a second response. In any event, on 10/23/25 the parties’ stipulated to Cross-Complainants filing a first amended cross-complaint and on 10/24/25 the court filed its order on that stipulation. [Stipulation and Order (ROA #78).] Cross-Complainants then filed their first amended cross-complaint (“FAXC”) against the original Cross-Defendants and also adding Industrious Properties, LLC (“I-P”), a new party to the case. The FAXC now consists of 21 causes of action. [ROA #94.]
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In their FAXC, Cross-Complainants allege that on 2/4/21 Cross-Complainant H Greg Auto entered into an asset purchase agreement (“APA”) with Cross-Defendant with I-M, which Cross-Complainants alleges to Cross-Defendant Brown was the beneficial owner, operator, and Managing Member or Manager or CEO. [FAXC, ¶ 25.]

In the APA, I-M made express representations and warranties concerning the legal compliance of the dealership business, the absence of undisclosed material liabilities, and the sufficiency of assets to support continued operations of the Nissan Dealership. But Cross Defendants knew that the Nissan Dealership required additional vehicle storage to satisfy Nissan North America’s franchise requirements, and that such off-site storage space offered by Cross Defendant New Beginnings was not lawfully permitted for that intended. That is, Cross-Defendants knew that the Premises located at 8255 Orangethorpe Avenue—an essential operational component (the “premises”)—was not zoned for vehicle inventory storage, had been cited for code violations, and lacked a valid Conditional Use Permit or other lawful entitlement for the intended use. These facts were not disclosed by Brown or New Beginnings to H Greg Auto in connection with the APA or in negotiations related to the subsequent lease of the premises. [FAXC, ¶¶ 27-28.]

Further, Cross-Defendants concealed that the premises, which were off-site from the dealership, required substantial improvements to become legally usable, including stormwater compliance, lighting infrastructure, and driveway reconstruction. Cross-Defendants also failed to disclose that the City had already cited the Premises for violations and that no permit authorizing vehicle storage was then in effect at the Premises. These omissions directly affected the value and usability of the Nissan Dealership assets, and materially impaired H Greg Auto’s ability to operate in compliance with local law and manufacturer standards. H Greg Auto relied on the representations and omissions in the APA when proceeding with the acquisition of the Nissan Dealership and was later induced to enter the lease of the Premises—under false assurances from the same parties—based on the belief that the Premises could legally fulfill the required vehicle storage function. [FAXC, ¶29.]

In response to questions from Cross-Complainants, on 5/13/21 Cross-Defendant Brown promised to clean up the premises and assured that was usable for its intended purposes by representing that he had previously used the Premises to store new and used vehicle inventory while he owned the Nissan Dealership. He further promoted the Premises as necessary under Nissan North America’s franchise requirements for additional parking. [FAXC, ¶ 37.]

Initially hesitant to lease the premises without confirming it was properly zoned, after assurance and pressure from Cross-Defendant Brown, Cross-Complainant H Greg Auto signed a lease on 5/15/21 and H Greg Holdings executed a guaranty. [FAXC, ¶¶ 38-43.]

The lease of the premises was critical for H Greg Auto's operations, providing essential inventory storage adjacent to its Nissan Dealership per its franchise agreement with Nissan North America. The Lease stated that Lessor would "provide evidence" to Lessee that the parking of motor vehicles was "consistent with applicable zoning" and stated that "no other use [than the parking of motor vehicles] shall be allowed." (Lease, Section 1.7.) [FAXC, ¶ 44 and Ex 1.]

On 5/21/21, Brown sent Cross-Complainants a falsified temporary use permit ("TPU") as evidence that Lessee could use the Premises for vehicle storage and parking. [FAXC, ¶¶ 46-67.] Further, Cross-Defendants concealed that a prior TPU for the premises had expired, that there was no, and there had not been, conditional use permit ("CPU") for the premise, and that the City had issued a 5/3/21 code enforcement notice to Cross-Defendants concerning the condition and use of the Premises. Even when Cross-Defendants did finally obtain a CPU (discussed further below), they concealed from Cross-Complainants that the City imposed numerous conditions requiring substantial site improvements before any lawful use for vehicle storage could commence. [FAXC, ¶ 48.]

In reliance on the representations described above and deferring to their apparent expertise and long-standing ties, to the local dealership community, H Greg Auto began using the premises for vehicle storage. [FAXC, ¶49.]

H Greg Auto put gravel as it was not told a permit was required to do that – or that the City had not authorized use of the premises to store vehicles. [FAXC, ¶ 50.] Between November 2021 and January 2022, H Greg Auto suffered a string of thefts and vandalism at the Premises, including catalytic converter thefts and smashed vehicle windows. lighting and video surveillance purposes to the site. Despite repeated requests, New Beginnings failed to provide basic security upgrades like unbreachable closed lot fencing or lighting and refused to install or arrange for electrical power for lighting and video surveillance purposes to the site. [*Id.*, ¶ 52.]

Meanwhile in early 2022 Cross-Defendant New Beginnings (via I.Properties and its agent Logan Kornblum of Commercial Development Resources) began trying to get a CPU for the premises. [FAXC, ¶¶ 53-65.] When a CUP was finally obtained on 6/8/22, it included significant conditions. The language of the CUP made

clear that vehicle storage could not legally begin at the premises until all conditions were met. The CUP conditions were never met, even after an extension was granted, and on 7/4/24 the City issued a stop work notice. [FAX, ¶¶ 66.]

Cross-Defendant New Beginnings, through Cross-Defendant Brown, directed H Greg Auto to return the premises to its original condition or be in breach of the lease. Then, on 11/4 and 11/26/24, the City confirmed that vehicle storage remained unauthorized at the Premises and detailed multiple unresolved CUP deficiencies. [FAXC, ¶¶ 67-68.]

On 11/18/24, H Greg Auto gave Lessor formal written notice that the CUP had lapsed and that Lessor had 30 days to cure or be in breach. The following day, Lessor issued H Greg Auto a notice of forfeiture for non-payment of rent. Meanwhile, in early 2025, H Greg Auto was attempting to sell the Nissan Dealership to a new buyer. However, such sale fell through when the buyer failed to secure financing—largely due to the uncertainty caused by whether the franchise application of the purported buyer would be accepted in light of its inability to meet the facilities requirements due to Lessor’s failure to maintain the conditions necessary for issuance of a CUP on the Premises. [FAC, ¶¶ 72-73.]

As it turned out, months before this and unbeknownst to Cross-Complainants, before the stop work notice I.Properties, owner of the premises, had been negotiating to and on 4/11/24 sold the premises out from under Cross-Complainants – showing that Cross-Defendants had no intention of complying with the CUP since at least 4/11/24. [FAXC, ¶¶ 75-82.]

Demurrer **Legal Standard**

A demurrer can be used only to challenge defects that appear within the “four corners” of the pleading – which includes the pleading, any exhibits attached, and matters of which the court is permitted to take judicial notice. *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994. Limited to the “four corners” as such, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.

On demurrer, a complaint must be liberally construed. Code Civ. Proc. § 452; *Stevens v. Superior Court* (1999) 75 Cal.App.4th 594, 601. All material facts properly pleaded, and reasonable inferences,

must be accepted as true. *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966-967.

Discussion

First Cause of Action for Fraudulent Inducement – by Lessee against Lessor and Brown

The elements of fraud are: "(a) [a] misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or "scienter"); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638; *see also Engalla v. Permanente Medical Grow, Inc.* (1997) 15 Cal.4th 951, 974.

"In California, fraud must be pled specifically; general and conclusory allegations do not suffice." *Lazar, supra*, 12 Cal.4th 631, 645, citing *Stansfield v. Starkey* (1990) 220 Cal. App. 3d 59, 74.

"This particularity requirement necessitates pleading *facts* which 'show how, when, where, to whom, and by what means the representations were tendered.'" *Id.* In cases against corporate employers, "the plaintiff must 'allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.'" *Id.*, citing *Tarmann v. State Farm Mut. Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 157.

The statute of limitations on a fraud claim is three years. Code Civ. Proc. §388(d). "The cause of action in that case is not deemed to have accrued until the discovery, by the aggrieved party, of the facts constituting the fraud or mistake." *Id.*

On demurrer, the burden is on Defendant to establish the Plaintiffs' cause of action is necessarily time barred and not that it may be time-barred. That defect must be shown by the allegations of the complaint. *Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42.

But where the allegations of the complaint (or judicially noticeable facts) show the claim is time-barred, it is Plaintiff's burden to plead around the statute of limitations when it appears on the face of the complaint that it applies. *Carrillo v. County of Santa Clara* (2023) 89 Cal.App.5th 227, 234-236.

For this cause of action, Cross-Complainants allege that Cross-Defendants New Beginnings and Brown fraudulently induced H Greg Auto to enter into the lease for the premises by their false representations as to the zoning and legal entitlement status of the premises – including providing the false TUP. [FAXC, ¶¶ 86-88.]

For their demurrer, Cross-Defendants dispute the sufficiency of these allegations and the reliance allegation as well. The bigger issue, however, is the statute of limitations since the actions inducing the 5/15/21 lease necessarily happened more than three years before this case was commenced on 7/7/25. *See California-American Water Co. v. Marina Coast Water Dist.* (2016) 2 Cal.App.5th 748, 763 (“As a general rule, the filing of a complaint tolls the statute of limitations applicable to a cross-complaint so long as the cross-complaint is related to the original complaint and its causes of action were not barred when the original complaint was filed.”).

In opposition Cross-Complainants argue fraudulent concealment and equitable tolling but these are not clearly supported by the current allegations.

Accordingly, the demurrer to the first cause of action for fraudulent inducement into the lease for the premises is sustained with 15 days leave to amend.

Second Cause of Action for Fraudulent Concealment – by Lessee against Lessor and Brown

For this cause of action Cross-Complainants allege that H Grego Auto was essentially fraudulently induced to enter into the APA by New Beginning and Brown’s concealment of the issues with the premises and the problems for its intended (and necessary use) for operation of the dealership. [FAXC, ¶¶ 96-100.]

For the reasons discussed above, the demurrer to the second cause of action for fraudulent concealment is sustained with 15 days leave to amend.

Eighth Cause of Action for Accounting – by Lessee against Lessor and Brown

With this cause of action, H Greg Auto seeks an accounting of the money it paid to New Beginnings, and its alter ego Brown, for rent under the lease for the premises – which turned out not to be useable for the intended purpose. [FAXC, ¶¶ 132-134.]

An action for an accounting has two elements: (1) “that a relationship exists between the plaintiff and defendant that requires an accounting” and (2) “that some balance is due the plaintiff that can only be ascertained by an accounting.” (*Teselle, supra*, 173 Cal.App.4th at p. 179, 92 Cal.Rptr.3d 696; see also 5 Witkin, Cal. Procedure, *supra*, Pleading, § 820.) The action carries with it an inherent limitation; an accounting action “is not

available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation.” (*Teselle*, at p. 179, 92 Cal.Rptr.3d 696; see also *St. James Church of Christ Holiness v. Superior Court of Los Angeles County* (1955) 135 Cal.App.2d 352, 359, 287 P.2d 387.)

An action for an accounting has been characterized as “a means of discovery.” (*Teselle*, *supra*, 173 Cal.App.4th at p. 180, 92 Cal.Rptr.3d 696 [“the purpose of the accounting is, in part, to discover what, if any, sums are owed to the plaintiff, and an accounting may be used as a discovery device”].)

Sass v. Cohen (2020) 10 Cal.5th 861, 272 Cal.Rptr.3d 836, 842, (emphasis added).

Cross-Defendants object that Cross-Complainants have not alleged a fiduciary or special relationship that would “justify” an accounting.

An action for an accounting may be brought to compel the defendant to account to the plaintiff for money or property (1) where a fiduciary relationship exists between the parties, or (2) where, **even though no fiduciary relationship exists, the accounts are so complicated that an ordinary legal action demanding a fixed sum is impracticable.** (5 Witkin, Cal. Procedure, *supra*, Pleadings, § 819, p. 236.) “A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting.” (*Teselle v. McLoughlin* (2009) 173 Cal.App.4th 156, 179, 92 Cal.Rptr.3d 696.)

Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 910 (bold added).

Cross-Complainants’ allegations meet the requirements set on in *Jolley*. [FAXC, ¶ 134.] Accordingly, the demurrer to the eighth cause of action for accounting is overruled.

Ninth Cause of Action for Rescission of Guaranty – by Guarantor against Lessor and Brown

A party to a contract may rescind the contract if that party’s consent was obtained through “fraud ... exercised by or with the connivance

of the party as to whom he rescinds, or of any other party to the contract jointly interested with such party.” Civ. Code §1689(b)(1).

Rescission, however, “is not a cause of action; is a remedy.” *Nakash v. Superior Court* (1987) 196 Cal.App.3d 59, 70.

Cross-Complainants have also prayed for rescission of both the lease and the guaranty. [FAXC, prayer items 1 and 2.]

The demurrer to this ninth cause of cause of action for rescission of guarantee is sustained with 15 days leave to amend.

Tenth Cause of Action for Fraud – by Guarantor against Lessor and Brown

For this cause of action H Greg Holdings alleges the same fraud (misrepresentation/ concealment) about the premises discussed above as inducing it to execute the guaranty. [FAXC, ¶¶ 144-145.]

For the reasons discussed above, the demurrer to the tenth cause of action for fraud in inducing the Guaranty is sustained with 15 days leave to amend.

Eleventh Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing – by Guarantor against Lessor and Brown

For this cause of action, Cross-Complainants allege that H Greg Holding has been denied the benefits of the Guaranty by the acts of New Beginnings and Brown in violation of the covenant of good faith and fair dealing attendant to the Guaranty.

Cross-Complainants do not, however, allege what purpose of the Guaranty was frustrated or from what terms of the Guaranty the breached covenant arose. [See FAXC, ¶¶ 151-153.]

To state a claim for breach of the covenant of good faith and fair dealing, a plaintiff must prove all of the following:

1. That plaintiff and defendant entered into a contract;
2. That plaintiff did all, or substantially all of the significant things that the contract required him/her/it to do, or that he/she/it was excused from having to do those things;
3. That all conditions required for defendant ‘s performance had occurred;
4. That defendant unfairly interfered with plaintiff ‘s right to receive the benefits of the contract; and

5. That plaintiff was harmed by defendant's conduct.

CACI 325.

[B]ecause the purpose of the implied covenant of good faith and fair dealing is limited to assuring the parties' compliance with the contract at issue, the scope of conduct prohibited by the implied covenant is confined by the "purposes and express terms" of the agreement. (*Carma Developers, supra*, 2 Cal.4th at p. 373, 6 Cal.Rptr.2d 467, 826 P.2d 710.) Consequently, an action alleging a breach of the implied covenant cannot be used by a plaintiff to try to extend existing, or to create new, obligations that were not contemplated by the parties when the contract was executed. (*Ibid.*) In light of this fundamental principal of contract law, a plaintiff raising a claim for the breach of the implied covenant must allege a reasonable relationship between the defendant's allegedly wrongful conduct and the express terms or underlying purposes of the contract. (*Ibid.*)

Jenkins v. JPMorgan Chase Bank, N.A. (2013) 216 Cal.App.4th 497, 527–528, *disapproved on other grounds, Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919.

The demurrer to the eleventh cause of action for breach of the implied covenant of good faith and fair dealing in the guaranty is sustained with 15 days leave to amend.

Twelfth Cause of Action for Fraudulent Inducement – by Lessee against I-M and Brown

For this cause of action Cross-Complainants allege that H Grego Auto was essentially fraudulently induced to enter into the APA by "Cross-Defendants'" misrepresentations as discussed above. Cross-Defendant I-M is the target of this cause of action, as opposed New Beginning and Brown, who are the target in the second cause of action. There is no specific allegation of a representation made by I-M or on its behalf. [See FAXC, ¶¶ 158-160.]

For this reason as well as those discussed above, the demurrer to the twelfth cause of action for fraudulent inducement by I-M of the APA is sustained with 15 days leave to amend.

Thirteenth Cause of Action for Breach of the Implied Covenant of Good Faith and Fair Dealing – by Lessee against I-M and Brown

For this cause of action, Cross-Complainants allege that I-M and Brown breach the implied covenant of good faith and fair dealing for the APA:

[B]y failing to disclose the non-permitted status of the Orangethorpe lot and its central role in continued dealership operations, Cross-Defendants effectively deprived Cross-Complainant of the benefits of the APA—namely, a legally compliant and operational dealership that satisfied manufacturer site requirements. On information and belief, these acts were arbitrary, dishonest, and intended to mislead.

[FAXC, ¶ 167.]

Cross-Defendants argue this is insufficient because such concealment predated the APA so cannot be a violation of the covenant that later arose when the APA was executed.

Accordingly, the demurrer to the thirteenth cause of action for breach of the implied covenant of good faith and fair dealing arising out of the APA is sustained with 15 days leave to amend,

Fourteenth Cause of Action for Negligent Misrepresentation – by Lessee against I-M and Brown

For this cause of action, Cross-Complainants allege that during negotiations for the APA, I-M and Brown made the same misrepresentations as discussed above to H Greg Auto, when they had no reasonable basis to do so. [FAXC, ¶¶ 171-172.]

The elements of a negligent misrepresentation cause of action are the same as the ones for fraud except for the requirement of scienter. *Bains v. Moores*, 172 Cal.App.4th 445, 454 (2009). In a claim for negligent misrepresentation, the plaintiff need not allege that the defendant made an intentionally false statement, but simply one as to which he or she lacked any reasonable ground for believing the statement to be true. *Id.*

This cause of action, too, must be pleaded with particularity. *Daniels v. Select Portfolio Servicing, Inc.* (2016) 246 Cal. App. 4th 1150, 1166, *disapproved on other grounds by Sheen v. Wells Fargo Bank* (2022) 12 Cal. 5th 905.

If based on fraud (versus negligence) a negligent misrepresentation claim has a three year statute of limitations. *William L. Lyon & Associates, Inc. v. Superior Court* (2012) 204 Cal.App.4th 1294, 1314.

For the reasons discussed above, the demurrer to the fourteenth cause of action for negligent misrepresentation is sustained with 15 days leave to amend.

Fifteenth Cause of Action for Concealment – by Lessee against I-M and Brown

This cause of action is for I-M and Brown's fraudulent concealment from H Greg Auto of the facts about the premises and its availability for use in connection with the APA.

For the reasons discussed above, the demurrer to the fifteenth cause of action for fraudulent concealment inducing the APA is sustained with 15 days leave to amend.

Sixteenth Cause of Action for Negligence – by Lessee against I-M and Brown

The elements of negligence are: (1) defendant's legal duty to conform to a standard of conduct to protect the plaintiff; (2) defendant failed to meet this standard of conduct; (3) causation; (4) damages. *Ladd v. County of San Mateo* (1996) 12 Cal.4th 913, 917.

Here, Cross-Complainants allege that Cross-Defendants owed Cross-Complainant H Greg Auto a duty to exercise reasonable care in connection with the negotiation and execution of the APA, including a duty to disclose material information relating to the regulatory status of the dealership and its ability to lawfully operate the Nissan Dealership post-closing – and that they breached this duty. [FAXC, ¶¶180-181.]

The court cannot discern that this is any different or more than their earlier negligent misrepresentation claim in connection with the APA. [See fourteenth cause of action, *supra*.]

Accordingly, the demurrer to this cause of action is sustained with 15 days leave to amend.

Motion to Strike
Legal Standard

A court may strike out any irrelevant, false, or improper matter inserted in any pleading or strike out all or any part of any pleading not drawn or filed in conformity with the laws of this state, a court rule or an order of the court. Code Civ. Proc. § 436. "Irrelevant" matters include: allegations not essential to the claim, allegations neither pertinent to nor supported by an otherwise sufficient claim

or a demand for judgment requesting relief not support by the allegations of the complaint. Code Civ. Proc. § 431.10(b).

The same liberal policy regarding amendments that applies to the sustaining of demurrers applies for motions to strike. If a defect may be correctible, leave to amend should usually be given. *Id.* at 168.

Discussion

Amendment beyond Leave to Amend

Cross-Defendants seek to have stricken the new causes of action added by way of the FAC, specifically the seventeenth through twenty-first causes of action, on the ground that they are beyond the scope of Cross-Complainants' leave to amend.

Once the time for amendment of right has passed, a party seeking to amend its pleadings must obtain express permission from the court to do so. Code Civ. Proc. § 473(a)(1).

Leave to amend is limited to the scope of the court's order. *See People By and Through Dept. of Public Works v. Clausen* (1967) 248 Cal.App.2d 770, 785 (noting that where amendment permitted on a motion, scope of leave determined by proposed pleading presented with request for leave to amend). *See also People By and Through Dept. of Public Works v. Clausen* (1967) 248 Cal.App.2d 770, 785–786 (“

Where a court grants leave to amend after sustaining a demurrer, the scope of permissible amendment is limited to the causes of action to which the demurrer has been sustained. *Harris v. Wachovia Mortgage, FSB* (2010) 185 Cal. App. 4th 1018, 1023 (ruling that adding new cause of action after demurrer is improper); *People v. Clausen* (1967) 248 Cal. App. 2d 770, 785-86 (finding that adding new party after demurrer is improper). *See also People By and Through Dept. of Public Works v. Clausen* (1967) 248 Cal.App.2d 770, 785–786 (“Thus, in the instant case since the leave to amend which the trial court gave to Clausen was granted upon the sustaining of State's demurrer to his original cross-complaint, such leave to amend did not entitle Clausen to add new parties as cross-defendants.”).

Here, one view is that the parties' stipulation and the court's order on it took the place of an actual ruling on the then-pending demurrer to the original complaint. Thus, the scope of Cross-Complainants' leave was defined by the causes of action demurred to, as would have been case had the court ruled on the demurrers and sustained them.

		In response, Cross-Complainants contend that when they stipulation was entered into the time to oppose based on the continued hearing date has not run, so they still could amend as of right under Code of Civil Procedure section 473(a) – that is without any limitations. According to Cross-Complainants, the stipulate simply extended that period of “as of right” amendment past the day the opposition would have been due. But Cross-Complainant had, in fact, filed an opposition to the demurrer and the hearing date was continued only after the statutory time to amend as of right was over. [ROA ## 47, 56, 58, 78.] As a result, the court concludes that the stipulation and the order on it effectively took the place of a ruling on the pending demurrer. Accordingly, the court finds that the seventeenth through twenty-first causes of action were added without leave. Accordingly, the motion to strike these causes of action is granted, but without prejudice to Cross-Complainants bring a motion to amend. As a result of this ruling and the demurrer ruling, the remainder of the motion to strike is moot.
12.	2025-1511360 Salazar vs. Law Offices of Michael A. Taibi, P.C.	Defendants Law Offices of Michael Taibi and Michael Taibi, Esq.’s motion to arbitrate all claims asserted by Plaintiffs Baltazar Salazar Jr., Lilliana Venegas, Baltazar M. Salazar, Humerto Rosales, and Imperium Metal Products is granted. The action is stayed pending completion of arbitration. (Code Civ. Proc. § 1281.4.) Defendants’ request for sanctions is denied. “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists.” (<i>Gravillis v. Coldwell Banker Residential Brokerage Co.</i> (2006)143 Cal. App. 4th 761, 770-71 [internal quotations and citations omitted]). In determining whether there is a duty to arbitrate, the court must examine and, “to a limited extent, construe the underlying agreement.” (<i>Ibid.</i>) Arbitration, whether under the California Arbitration Act (CAA) or Federal Arbitration Act (FAA), “is a matter of consent, not coercion ... a party cannot be required to submit to arbitration any dispute which he has not agreed so to submit.” (<i>Pinnacle Museum Tower</i>

Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236 [internal quotations and citations omitted].) The party seeking to arbitrate must prove the existence of the agreement. (*Id.*, at p. 236.) If an agreement exists, then public policy substantially favors arbitration (see Code Civ. Proc. § 1281.2 [court shall order arbitration if it determines valid agreement to arbitrate exists]) and the burden shifts to the party opposing arbitration to “demonstrate that an arbitration provision *cannot* be interpreted to require arbitration of the dispute.” (*Coast Plaza Doctors Hospital v. Blue Cross of California* (2000) 83 Cal.App.4th 677, 686-87.) But “[t]here is no public policy in favor of forcing arbitration of issues the parties have not agreed to arbitrate.” (*Romo v. Y-3 Holdings, Inc.* (2001) 87 Cal.App.4th 1153, 1158, quoting *Marcus & Millichap Real Estate Investment Brokerage Co. v. Hock Investment Co.* (1998) 68 Cal.App.4th 83, 89.)

Plaintiffs do not challenge the existence or validity of the arbitration agreement. Rather, Plaintiffs contend Defendants waived their right to arbitrate.

The right to arbitration may be waived. (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 572.) The “determination of whether [a party] has lost its right to compel arbitration as a result of its litigation-related conduct is governed by generally applicable state law contract principles.” (*Id.*) Under these principles, “the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it.” (*Id.* at p. 584.)

It is undisputed that the written retainer agreement containing the arbitration clause signed by Plaintiffs was countersigned by Defendant Michael A. Taibi, Esq. Thus, even if Defendants’ counsel may have been unaware of the arbitration provision’s existence until after this action was filed, Defendants were aware of the existence of the arbitration clause. Defendants’ waiver of their ability to compel arbitration depends on whether Defendants engaged in acts inconsistent with the right to arbitrate.

The second element of the waiver analysis requires a showing of an intentional relinquishment or abandonment of the right to arbitrate. This element “may be proved by evidence of words expressing an intent to relinquish the right or of conduct that is so inconsistent with an intent to enforce the contractual right as to lead a reasonable fact finder to conclude that the party had abandoned it.” (*Quach, supra*, 16 Cal.5th at p. 584.) “The waiver inquiry is exclusively focused on the waiving party’s words or conduct; neither the effect of that conduct on the party seeking to avoid enforcement

of the contractual right nor that party's subjective evaluation of the waiving party's intent is relevant." (*Id.* at p. 585.)

Plaintiffs commenced the instant action on September 12, 2025. (ROA 2.) Defendants moved to compel arbitration on April 8, 2026 (ROA 31), nearly seven months after the Complaint was filed and almost 4 months after filing a demurrer to the Complaint on December 11, 2025 (ROA 11).

Plaintiffs propounded discovery on Defendants on February 13, 2026. (See ROA 38, 56, 58.) Defendants requested and were granted an extension of time to respond. (See *id.*) On March 31, 2026, the day before the extension deadline, Defendants asserted for the first time that the parties' retainer agreement contains a binding arbitration provision. (*Id.*) Plaintiffs moved to compel responses to the discovery and to deem facts admitted when Defendants did not serve any discovery responses. (See ROA 38, 40-42.)

The record before the court, by clear and convincing evidence, does not establish that Defendants intentionally relinquished or abandoned their right to arbitrate. In cases finding waiver in less than eight months, additional facts show involvement in litigation and intentional relinquishment or abandonment. (See, e.g., *Adolph v. Coastal Auto Sales, Inc.* (2010) 184 Cal.App.4th 1443, 1452 [affirming waiver where defendant delayed six months, did not indicate arbitration on the CMS, filed two demurrers, and engaged in discovery without objection on the ground of arbitration]; *Guess?, Inc. v. Superior Court* (2000) 79 Cal.App.4th 553 [affirming waiver where defendant delayed four months, did not plead the right to arbitrate as an affirmative defense, and engaged in extensive discovery without objection on the ground of arbitration]; *Davis v. Continental Airlines, Inc.* (1997) 59 Cal.App.4th 205, 217 [affirming waiver where defendant delayed six months and obtained 1600 pages of document discovery and a two-day deposition of plaintiff].) Here, although Defendants delayed almost seven months and filed a demurrer, they did not file a cross-complaint, did not engage in affirmative discovery, and did not provide discovery responses. Defendants' invocation of the litigation machinery was not substantial. (See *Khalatian v. Prime Time Shuttle, Inc.* (2015) 237 Cal.App.4th 651, 662 [filing a demurrer does not result in waiver if it is withdrawn prior to a determination on the merits].) Thus, Defendants did not waive their right to arbitrate. The motion to compel arbitration is granted.

Defendants to give notice.

Given the Court's determination on the motion to compel arbitration, the Court declines to consider Defendant's demurrer.

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